

Insurance Trends to Watch in 2025: **A Strategic Shift to Digital Claims Management**

A TrendzOwl Industry Spotlight
in partnership with





Executive Summary

In the 2020s, support services in the insurance space must be tailored to the specific preferences and needs of customers like never before. The need for omnichannel support is undeniable. Insurers are therefore seeking to reinvent themselves with a cost efficient, digital-first, human-centric operating model that also reimagines risk management. "With the right digital tools and platforms, insurers can streamline their operations, reduce costs, and enhance the customer experience."¹

In that spirit, massive amounts of data are being leveraged to provide more policyholder-centric services. As TP notes, AI's ability to learn from situations and quickly analyze huge, complex sets of data offers a superior way to process claims.² At the same time, insurance carriers need experienced strategic partners to help make their transformation successful. For TP, "When it comes to moving from traditional to digital claims management, the first step is finding the right partner who can help you make the transition and work with you to continually improve your processes."³

In 2024, TrendzOwl and TP propose three key themes in the insurance sector:

Improving Claims Management with Advanced Data

When it comes to claims management, "advanced data and analytics is taking on even more importance. Increasingly seen as the connective tissue of the insurance ecosystem, quality data is now critical to effectively leveraging AI."⁴ Indeed, "data is the fuel for optimization and innovation," which means that "insurers must accelerate their data and analytics investment or find themselves left behind."⁵

Innovating Claims Management with Human-Centered Support

Even with regulatory ambiguity, uncertainties regarding return on investment (ROI), costs of implementation with legacy IT systems, and concerns around data privacy and security, insurers are "all-in" on exploring and investing in genAI to improve human-centered support and innovate claims management.

Transforming Insurance with the Human Touch

Advances in technology are impressive, but "While it is true that certain tasks can be automated, it is crucial for insurance companies to strike the right balance between automation and the human touch. Rather than replacing human talent, technology should be leveraged to augment the capabilities of insurance professionals, enabling them to focus on more complex and strategic tasks."⁶

Background

Insurance BPO is a sub-division of the banking, financial services and insurance (BFSI) business process outsourcing business. It's a market that has expanded significantly over the last decade, driven by the increased expectations of insurance policyholders seeking seamless, hyper-personalized experiences.

To that end, experienced BPO providers can make all the difference. "As insurance company operations become more complex, insurers are constantly looking for specialized expertise and technology skills, all while trying to maintain or lower costs. Instead of hiring staff or building or buying technology solutions, many insurers choose to outsource functions like claims processing, policy administration, and customer support to third-party service providers. This outsourcing often includes using the outsourcing provider's technology. Additionally, insurers are looking to outsourcers to help them digitize and automate operations."⁷ The ability to organize, manage, analyze, and secure consumer data is central to this effort.

Even so, as digital transformation continues apace in the insurance space, **according to TP's 2024 Global Insights Survey, voice remains the preferred support channel, with over 48% of property and casualty insurance consumers choosing the voice channel while over 46% of auto insurance consumers are turning to the voice channel for support.**⁸

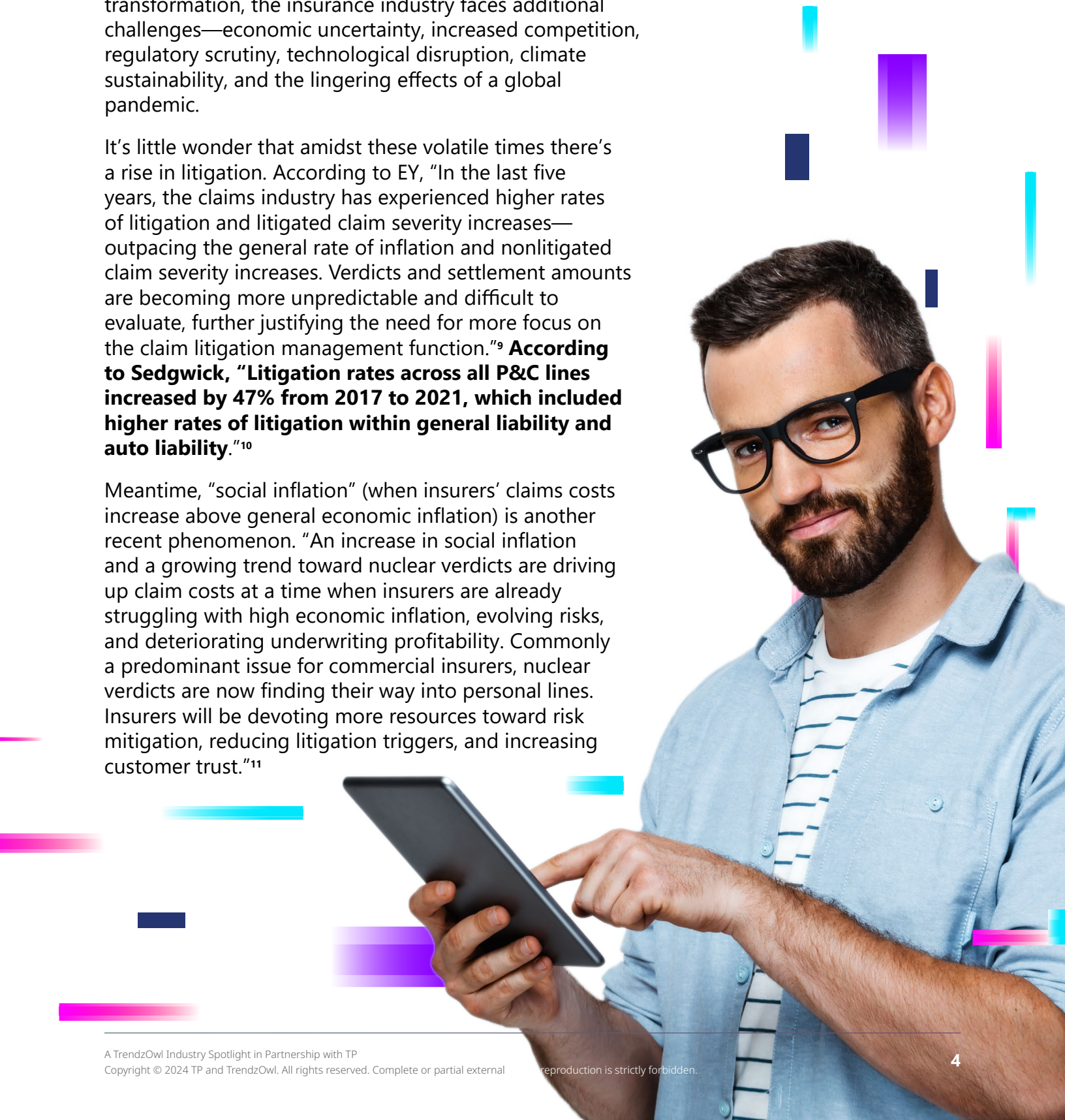


The Challenges of Unpredictable Times

While rising customer expectations is a key driver for transformation, the insurance industry faces additional challenges—economic uncertainty, increased competition, regulatory scrutiny, technological disruption, climate sustainability, and the lingering effects of a global pandemic.

It's little wonder that amidst these volatile times there's a rise in litigation. According to EY, "In the last five years, the claims industry has experienced higher rates of litigation and litigated claim severity increases—outpacing the general rate of inflation and nonlitigated claim severity increases. Verdicts and settlement amounts are becoming more unpredictable and difficult to evaluate, further justifying the need for more focus on the claim litigation management function."⁹ **According to Sedgwick, "Litigation rates across all P&C lines increased by 47% from 2017 to 2021, which included higher rates of litigation within general liability and auto liability."**¹⁰

Meantime, "social inflation" (when insurers' claims costs increase above general economic inflation) is another recent phenomenon. "An increase in social inflation and a growing trend toward nuclear verdicts are driving up claim costs at a time when insurers are already struggling with high economic inflation, evolving risks, and deteriorating underwriting profitability. Commonly a predominant issue for commercial insurers, nuclear verdicts are now finding their way into personal lines. Insurers will be devoting more resources toward risk mitigation, reducing litigation triggers, and increasing customer trust."¹¹



The Process of Reinvention

In the face of all this, **“Insurers have an aggressive agenda.** To stay competitive and continually adapt to the evolving landscape, they need to build change resiliency within their organizations.”¹² But innovation isn’t easy. Despite organizations taking steps such as moving to the cloud, accelerating the adoption of AI into the enterprise, and seizing the cost and talent advantages of remote working, it too often appears to be the case that, “... experience improvement delivery lacks connection to a cohesive operating model that harmonizes various competencies, enabled by technology and scalable resourcing.”¹³

Adopting an agile and “experience-centric” system capable of functioning in today’s unpredictable environment is a complex pursuit. “While the insurance industry overall has invested in improving user experiences, carriers must further improve delivery speed, quality and efficiency of enhancements in order to attract and retain customers while lowering interaction costs.”¹⁴ To accomplish that, insurance carriers must move beyond legacy processes and technologies. “So, what exactly are the implications of adopting digital channels such as online portals and mobile apps? Increased digitalization and connected technology... giving insurance customers exactly what they want; self-service. These tools allow customers to generate their own quotes online; resolve queries with chatbots; even resolve claims in some cases.”¹⁵

In other words, intelligent operations and data-driven insights are the future of insurance. At the same time, such operations also must serve to assist skilled human beings in the work they do. TP’s 2024 Global Insights Survey reflects this theme—“Overall, 62% of consumers show clear preference for human support. While this preference extends to all generations, genders, countries, and sectors, automated or AI bot assistance increases among younger generations, nonbinary individuals, gamers, online shoppers, and Chinese consumers.”¹⁶



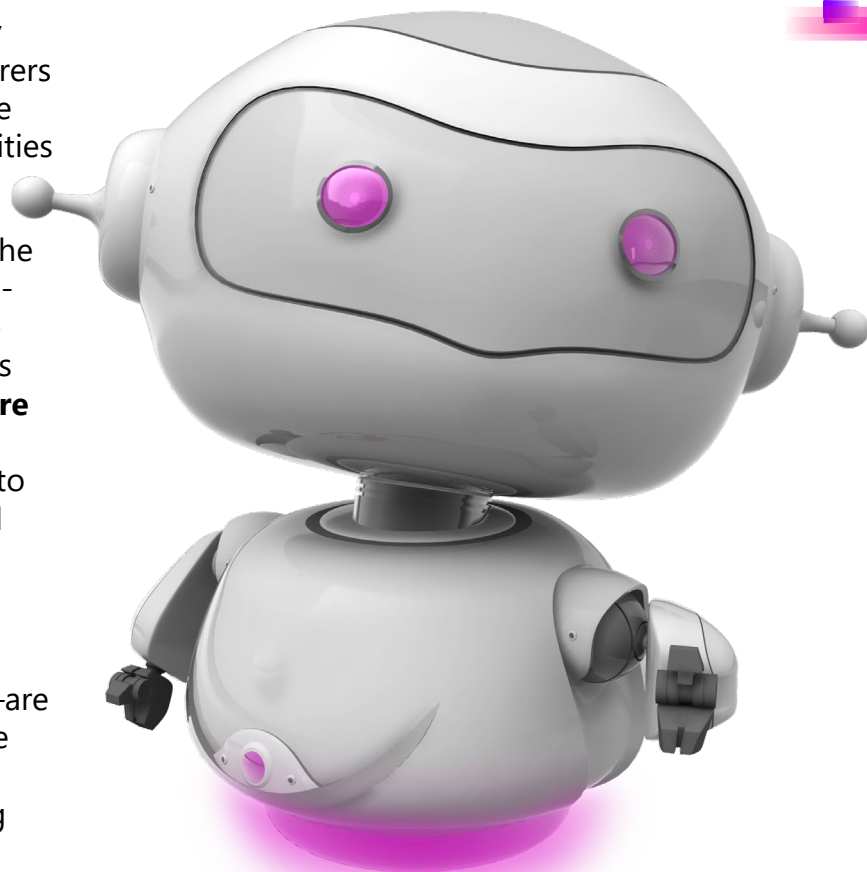
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Generative AI: Innovating Human Assistance in Claims Management

All of which brings us to the AI revolution. The insurance sector has long been known as risk-averse and slow to innovate. And yet, in 2024, “Global insurers contending with proliferating risks, such as climate change, natural catastrophe, cybersecurity, rising customer expectations, such as tailored coverages and personalized experiences, and profitability pressures are looking to the transformative potential of generative AI. Though the technology is still in the early stages of development, many global insurers clearly see how it can unleash competitive disruption, create new revenue opportunities and promote operational excellence.”¹⁷

The investment frenzy is real. “Based on the EY study of 200 senior insurance decision-makers, virtually every insurer around the world is already investing or making plans to invest in genAI.” **That is to say, 42% are already investing in genAI while 57% are making plans to do so.**¹⁸ According to Digital Insurance, the genAI market could reach \$15 billion by 2025 solely in the insurance and finance industries.¹⁹

But there’s an interesting twist. “The vast majority of insurers—95% in the survey—are prioritizing administrative and back-office use cases. A significant number, 43%, are awaiting further development and testing before deploying genAI in client-facing, front-office applications.”²⁰ This kind of steady approach will feature in 2025, because “Leading insurers will aggressively explore ways to not only leverage the technology, but also develop a solid AI strategy that includes robust risk management and governance.”²¹



And robust cybersecurity is a part of this equation. After all, genAI requires large quantities of data to be used by and exchanged between more systems (both data depth—through the number of records, and data breadth—through more individual data elements). All of which increases the need for high levels of cybersecurity.

This makes sense. As TP points out in its 2024 Global Insights Survey, “How do consumers feel about brands using generative AI tools for support? The main consensus among consumers is that genAI tools need human oversight. Although there is much agreement on the benefits of genAI for simple issues, most consumers disagree that genAI can provide the same level of support as a human and they largely prefer human interaction most of the time or always, supporting a good case for AI-enabled human interaction.”²²

In fact, according to the same survey, 67% of auto insurance customers and 66% of property and casualty insurance customers preferred human assistance versus automated AI bot assistance.²³

When designed and deployed correctly genAI can optimize the process and help empathetic human beings be more effective in the claims management process. TP is clear on this point: “AI-powered solutions simplify the experience for both customers and representatives. An intelligent virtual assistant gathers the customer details before transferring them, with context, to a representative who specializes in that particular type of claim. The representative can easily confirm the customer’s information, demonstrate empathy and understanding, and send a link for uploading photos, audio recordings, and documents. The AI assistant guides them through the conversation, ensuring they don’t forget anything, and empowers them to provide a compassionate ear while customers are in distress.”²⁴



TP: Agile Solutions & Human-Centered Support

It's against this backdrop that TP helps insurers solve critical business challenges with digital business solutions that combine high-tech capabilities with a high touch approach to enable its clients to more effectively handle frontline and back-office tasks.

Capabilities include:

-  Licensed TP experts experts that sell, support, and manage complex insurance policies.
-  Claims processing that applies AI-powered solutions to streamline workflows, improve claims management, and deliver quality customer care.
-  Policy administration that reduces expenses, increases efficiency, and expedites product launches to elevate insurance services.
-  Management of the recruitment, training, licensing, appointment, and ongoing continuing education requirements of a carrier's distribution organization.
-  Mergers & acquisitions expertise that reviews, reorganizes, and optimizes business portfolios.



These capabilities help TP deliver seamless support for the insurance industry through the following solutions:

Claims Management

Claims management in a digital world is all about streamlining processes. “Intelligent automation that integrates AI keeps claims progressing through the system. The technology understands each step in the process, its timing, and everything that’s being handled by each representative. It moves claims along, tags issues so they can be quickly resolved, and ensures accuracy.”²⁵ And indeed, “With AI-based automation, tasks get done in less time, with fewer mistakes, and claims leakage and overhead are reduced. Employee productivity and effectiveness goes up, and so does their satisfaction, as they spend their time doing meaningful tasks.”²⁶

The TP Approach

TP emphasizes that, “Today’s digital claims management solutions take advantage of the power of automation and AI technology to help with mundane tasks, along with human understanding and empathy. This ensures effective processing from FNOL to subrogation, increases customer satisfaction, and boosts employee productivity, satisfaction, and retention.”²⁷

“Our approach to digital claims management,” adds TP, “is a unique end-to-end process. It incorporates AI training and automation tools that reduce learning time with realistic customer engagement simulation, improving employee performance and satisfaction, effectively reducing attrition rates. Our omnichannel strategy is powered by real-time AI recommendations and intelligent tools to offload mundane, manual tasks and empower people to make the emotional difference.”²⁸

Homeowners, Property & Casualty Insurance

Homeowners insurance helps protect individuals from the risk of damage to their home and belongings. There are four main types of coverage in a standard policy: dwelling, other structures, personal property, and liability.

The TP Approach

TP enhances policy, distribution, and claims functions across all services as well as fraud detection and risk management. And AI is helping empathetic human beings be more effective at an accelerating rate. "AI-powered solutions simplify the experience for both customers and representatives. An intelligent virtual assistant gathers the customer details before transferring them, with context, to a representative who specializes in that particular type of claim. These TP experts can easily confirm the customer's information, demonstrate empathy and understanding, and send a link for uploading photos, audio recordings, and documents. The AI assistant guides them through the conversation, ensuring they don't forget anything, and empowering them to provide a compassionate ear while customers are in distress."²⁹

AI-powered solutions simplify the experience for both customers and representatives.

Process Optimization

In a rapidly changing world, it's imperative to streamline processes to optimize efficiency and improve business results with genAI-enabled tools and workflows. That's especially true for the insurance industry.

The TP Approach

The company helps clients re-engineer their business models to provide better insurance services, simplify processes, and optimize growth opportunities. It helps streamline processes across the client organization to achieve the visibility and efficiency that enables fast adaptation.

Takeaways

Ultimately, the insurance industry will need to continue to adapt to fast-moving times. "Companies should foster a culture that values customer-centricity and invest in talent development programs that cultivate these essential skills. By putting the customer at the center of their operations, insurance companies can build trust, enhance customer loyalty, and gain a competitive edge in the market."³⁰ Consider that customers now expect to be able to interact with their insurance providers through multiple touchpoints. Whether that's mobile apps, social media, chatbots or virtual assistants, insurers who fail to provide these options risk falling behind the competition.... The key is to leverage data analytics to gain a deep understanding of customer preferences and behavior."³¹

Innovation is steaming ahead. And the AI revolution will play a major role. As a result, "Insurers that move too slowly risk being leapfrogged by the competition. And those that fail to build core infrastructure, governance and capabilities will struggle to consistently develop and scale genAI applications and to maximize returns on their investments."³² Indeed, because most insurers are not as far down the path of genAI as other industries, instead of attempting to "reinvent the wheel," they should leverage the capabilities of an organization that has made genAI investments in other industries and gained valuable experience in what works.



>> Action Items

Together, TP and TrendzOwl propose the following key action items for insurance firms and their BPO partners:

Take Action on GenAI & Be Ready to Adapt

Amidst the AI hype, insurers need to be smart about the actions they take. "Even as they pursue quick wins and seek to build confidence with AI, insurers should craft the overall vision and determine how genAI can transform the business over the long term. Key elements of the genAI strategy include the delivery model, data governance, computing infrastructure (i.e., on-premise vs. cloud) and a prioritization framework to support desired business outcomes."³³

Leverage Tech to Support Human Beings

Utilize technology to support the work of skilled subject matter experts (SMEs). Or as TP notes, "While genAI has great potential to enhance customer experience, voice is still the most used channel and consumers still prefer human contact, supporting a balanced use of technology and human support."³⁴ And when it comes to insurance specifically, "Preference for traditional voice calls is highest among automotive and electric utility customers, followed by auto insurance policy owners, who typically register a lower preference for non-voice digital channels."³⁵

Implement Robust Cybersecurity

At the same time, in the 2020s, cybersecurity cannot be neglected. "Of course, with the increasing reliance on data comes the need for robust cybersecurity measures. As insurers collect, store and share ever-larger volumes of sensitive customer data due to third party applications, it's critical that they invest in state-of-the-art security solutions to protect against cyber threats and maintain the trust of their customers."³⁶



Notes

¹ Propello, "7 Insurance Industry Trends to Look Out For in 2024," April 11, 2024.

² TP eBook, "Digital Solutions for Claims Management," p. 8.

³ TP eBook, "Digital Solutions for Claims Management," p. 8.

⁴ One Inc., "12 Insurance Industry Trends for 2024," January 18, 2024.

⁵ Majesco, "The Trends Shaping the Future of Insurance in 2024."

⁶ Eliot Partnership, "6 Insurance Talent Trends to Watch in 2024," December 5, 2023.

⁷ Celent, "Abstract: 2024 Global Life Insurance BPO Market Analysis: Driving Efficiency & Innovation," Karun Arathil and Karen Monks, June 10, 2024.

⁸ TP Business Insights Lab, Global Insights Survey, 2024, slide 17.

⁹ EY, "Six Ways Claims Industry Can Mitigate Social Inflation," Michael Curcio, May 31, 2024.

¹⁰ Sedgwick, "Liability Litigation Observations and Trends," 2023.

¹¹ One Inc., "12 Insurance Industry Trends for 2024," January 18, 2024.

¹² One Inc., "12 Insurance Industry Trends for 2024," January 18, 2024.

¹³ EY, "Four Hurdles Insurers Can Navigate to Improve User Experience," Dawn Nash, Marlaine Erhart, and Travis Earhart, May 16, 2024.

¹⁴ EY, "Four Hurdles Insurers Can Navigate to Improve User Experience," Dawn Nash, Marlaine Erhart, and Travis Earhart, May 16, 2024.

¹⁵ Propello, "7 Insurance Industry Trends to Look Out For in 2024," April 11, 2024.

¹⁶ TP Business Insights Lab, Global Insights Survey, 2024, slide 35.

¹⁷ EY, "How to Revolutionize the Insurance Value Chain with Generative AI," Isabelle Santenac, Gaston Messineo, and Peter Manchester, May 14, 2024.

¹⁸ EY, "How to Revolutionize the Insurance Value Chain with Generative AI," Isabelle Santenac, Gaston Messineo, and Peter Manchester, May 14, 2024.

¹⁹ Digital Insurance, "How AI Could Change Insurance," Michael Bruch, January 9, 2024.

²⁰ EY, "How to Revolutionize the Insurance Value Chain with Generative AI," Isabelle Santenac, Gaston Messineo, and Peter Manchester, May 14, 2024.

²¹ One Inc., "12 Insurance Industry Trends for 2024," January 18, 2024.

²² TP Business Insights Lab, Global Insights Survey, 2024, slide 43.

²³ TP Business Insights Lab, Global Insights Survey, 2024, Appendix 16.

²⁴ TP eBook, "Digital Solutions for Claims Management," p. 3.

²⁵ TP eBook, "Digital Solutions for Claims Management," p. 5.

²⁶ TP eBook, "Digital Solutions for Claims Management," p. 5.

²⁷ TP eBook, "Digital Solutions for Claims Management," p. 2.

²⁸ TP eBook, "Digital Solutions for Claims Management," p. 8.

²⁹ TP eBook, "Digital Solutions for Claims Management," p. 3.

³⁰ Eliot Partnership, "6 Insurance Talent Trends to Watch in 2024," December 5, 2023.

³¹ Propello, "7 Insurance Industry Trends to Look Out For in 2024," April 11, 2024.

³² EY, "How to Revolutionize the Insurance Value Chain with Generative AI," Isabelle Santenac, Gaston Messineo, and Peter Manchester, May 14, 2024.

³³ EY, "How to Revolutionize the Insurance Value Chain with Generative AI," Isabelle Santenac, Gaston Messineo, and Peter Manchester, May 14, 2024.

³⁴ TP Business Insights Lab, Global Insights Survey, 2024, Appendix.

³⁵ TP Business Insights Lab, Global Insights Survey, 2024, slide 34.

³⁶ Propello, "7 Insurance Industry Trends to Look Out For in 2024," April 11, 2024.

About TrendzOwl

TrendzOwl is a market intelligence and advisory firm interested in a set of interrelated areas impacting today's global enterprises — from CX and BPO to the world of telecom services and devices. The central theme animating our research is that exponential technological change is supercharging an era of immersive techno-consumerism and the increasingly high service expectations that come with it. But even as the information and communications revolution rushes toward an AI-enabled metaverse, globalization is under increased pressure. Our ability to anticipate the future seems more limited than ever. Is your organization prepared for tomorrow's world, whatever form it takes?

About TP

The world's best brands trust TP for advanced business services, solution design, digital customer journey management, operational efficiencies, integrated sales strategies, and much more. With advanced, AI-powered solutions and nearly 500,000 service and solution experts with local and industry-specific expertise, TP teams provide support in 170 countries and speak 300 languages and dialects. In addition to consistently being ranked as a business services leader and innovator, TP has been recognized as a top global employer, named among the 25 World's Best Workplaces for the third consecutive year by Fortune and the Great Place to Work® Institute.